Dr. **Kannan & Co. Account** **Cr.**

Date	Particulars	J.F.	Amount ₹	Date	Particulars	J.F.	Amount ₹
				2017 July 5	By Purchases A/c		55,000

Dr. **Balan & Co. Account** **Cr.**

Date	Particulars	J.F.	Amount ₹	Date	Particulars	J.F.	Amount ₹
				2017 July 10	By Purchases A/c		73,000

Note: 6th July, transaction is a cash transaction and 20th July, transaction is purchase of an asset. Hence, both will not be recorded in the purchases book.

6.6 Purchases returns book

After purchases of goods, the business unit may find that some of the goods are not upto the satisfactory level because of the following reasons:

(a) Goods may be defective.
(b) They might have been damaged in transit.
(c) Quantities delivered may not agree with the invoice.
(d) They might have been received quite late (off-season).
(e) They might not be as per the samples or specifications.
(f) There may be a breach of agreement.

Therefore, the buyer may return them to the suppliers.

Purchases returns book is a subsidiary book in which transactions relating to return of previously purchased goods to the suppliers, for which cash is not immediately received are recorded. Since goods are going out to the suppliers, they are also known as returns outward and the book is called as '*returns outward book or returns outward journal*'. This book is prepared like purchases book and details are entered as mentioned in the format given below:

Format

Purchases returns book

Date	Particulars	L.F.	Debit Note No.	Amount ₹		Remarks
				Details	Total	
Date of return	Names of persons to whom goods are returned and the details of goods returned Purchases Returns A/c Cr.	Posting reference		Detailed calculations		

6.6.1 Posting from the purchases returns book

After the transactions are recorded in the purchases returns book, posting them to ledger involves two steps:

Step 1: **Posting to personal accounts of creditors:** Every day, each entry in purchases returns book is posted to the debit side of the respective personal account of the creditor by writing the words 'To Purchases Returns account'.

Step 2: **Posting to Purchases returns account:** At the end of the month, the aggregate of the purchases returns is ascertained. It is the total purchases returns for the month and is posted to the credit side of purchases returns account by debiting 'Sundry creditors account'.

Accountancy - Unit-06.indd 106 12/12/2021 6:15:43 PM